Table 1. Burkina Faso: External Debt Sustainability Framework, Baseline Scenario, 2014–37[1]

(In percent of GDP, unless otherwise indicated)

	Actual			Historical 6/ Average	Standard 6/ Deviation	Projections									
												2017-2022			2023-2037
	2014	2015	2016			2017	2018	2019	2020	2021	2022	Average	2027	2037	Average
External debt (nominal) 1/	**23.5**	**26.5**	**27.4**			**24.2**	**24.6**	**24.3**	**23.9**	**23.5**	**23.3**		**25.3**	**33.7**	
of which: public and publicly guaranteed (PPG)	23.5	26.5	27.4			24.2	24.6	24.3	23.9	23.5	23.3		25.3	33.7	
Change in external debt	2.2	2.9	0.9			-3.1	0.4	-0.3	-0.4	-0.4	-0.2		0.7	0.2	
Identified net debt-creating flows	4.9	10.9	2.6			3.2	3.9	4.3	4.2	4.2	4.1		3.0	2.1	
Non-interest current account deficit	**7.8**	**8.4**	**7.1**	**6.8**	**3.4**	**8.1**	**8.0**	**7.7**	**7.5**	**7.6**	**7.5**		**6.3**	**5.9**	6.5
Deficit in balance of goods and services	8.9	9.8	8.5			9.6	9.5	9.3	9.1	9.2	9.1		8.0	9.2	
Exports	26.0	26.5	27.3			27.3	26.0	25.1	25.0	24.7	24.3		24.9	24.9	
Imports	34.9	36.3	35.9			36.9	35.6	34.4	34.0	33.8	33.4		32.9	34.1	
Net current transfers (negative = inflow)	-3.9	-4.4	-3.3	-4.7	0.9	-3.1	-3.0	-2.9	-2.7	-2.6	-2.5		-2.2	-1.7	-2.1
of which: official	-1.8	-2.3	-1.3			-1.4	-1.3	-1.4	-1.2	-1.3	-1.2		-1.2	-1.0	
Other current account flows (negative = net inflow)	2.7	3.0	1.8			1.6	1.5	1.3	1.2	1.1	0.9		0.6	-1.7	
Net FDI (negative = inflow)	**-2.3**	**-2.1**	**-2.7**	**-2.1**	**1.5**	**-3.5**	**-3.0**	**-2.3**	**-2.3**	**-2.3**	**-2.4**		**-2.6**	**-3.2**	-2.8
Endogenous debt dynamics 2/	**-0.6**	**4.7**	**-1.8**			**-1.4**	**-1.1**	**-1.1**	**-1.1**	**-1.0**	**-1.0**		**-0.8**	**-0.5**	
Contribution from nominal interest rate	0.2	0.2	0.2			0.2	0.2	0.3	0.3	0.3	0.3		0.5	0.9	
Contribution from real GDP growth	-0.9	-1.1	-1.4			-1.6	-1.3	-1.4	-1.3	-1.3	-1.3		-1.2	-1.5	
Contribution from price and exchange rate changes	0.1	5.5	-0.6			...	...	...	...	...	...		...	...	
Residual (3-4) 3/	**-2.7**	**-8.0**	**-1.7**			**-6.4**	**-3.5**	**-4.6**	**-4.6**	**-4.6**	**-4.3**		**-2.3**	**-1.9**	
of which: exceptional financing	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 4/	...	...	17.7			15.8	16.0	15.9	15.7	15.6	15.5		17.2	23.9	
In percent of exports	...	...	64.7			57.7	61.6	63.5	63.0	63.2	63.9		69.0	95.8	
PV of PPG external debt	**...**	**...**	**17.7**			**15.8**	**16.0**	**15.9**	**15.7**	**15.6**	**15.5**		**17.2**	**23.9**	
In percent of exports	**...**	**...**	**64.7**			**57.7**	**61.6**	**63.5**	**63.0**	**63.2**	**63.9**		**69.0**	**95.8**	
In percent of government revenues	**...**	**...**	**96.3**			**82.8**	**81.6**	**78.6**	**75.8**	**74.4**	**73.5**		**77.3**	**108.2**	
Debt service-to-exports ratio (in percent)	**3.1**	**3.9**	**3.8**			**4.1**	**4.3**	**4.5**	**4.4**	**4.5**	**4.6**		**6.1**	**12.7**	
PPG debt service-to-exports ratio (in percent)	**3.1**	**3.9**	**3.8**			**4.1**	**4.3**	**4.5**	**4.4**	**4.5**	**4.6**		**6.1**	**12.7**	
PPG debt service-to-revenue ratio (in percent)	**4.6**	**6.1**	**5.6**			**5.9**	**5.7**	**5.5**	**5.3**	**5.3**	**5.3**		**6.9**	**14.3**	
Total gross financing need (Billions of U.S. dollars)	0.8	0.8	0.6			0.7	0.8	1.0	1.0	1.1	1.2		1.4	3.0	
Non-interest current account deficit that stabilizes debt ratio	5.6	5.4	6.2			11.2	7.6	8.0	8.0	8.0	7.7		5.6	5.6	
Key macroeconomic assumptions															
Real GDP growth (in percent)	4.3	3.9	5.9	5.4	1.6	6.4	6.0	6.0	6.0	6.0	6.1	6.1	5.4	4.7	5.0
GDP deflator in US dollar terms (change in percent)	-0.6	-19.1	2.4	1.8	10.0	2.6	4.3	2.4	2.1	1.6	1.5	2.4	2.0	2.0	2.0
Effective interest rate (percent) 5/	1.0	0.8	1.0	1.0	0.1	1.0	1.1	1.2	1.3	1.4	1.5	1.2	2.1	3.0	2.4
Growth of exports of G&S (US dollar terms, in percent)	2.0	-14.2	11.8	19.2	27.8	9.1	5.5	4.5	7.7	6.4	6.2	6.6	8.7	6.1	7.3
Growth of imports of G&S (US dollar terms, in percent)	-8.9	-12.7	7.2	12.1	18.8	12.2	6.8	4.8	7.2	7.1	6.4	7.4	7.3	7.0	7.3
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	40.4	38.6	37.4	36.4	35.9	34.7	37.2	28.8	17.1	25.3
Government revenues (excluding grants, in percent of GDP)	17.4	17.0	18.4			19.0	19.7	20.3	20.8	20.9	21.2		22.2	22.0	22.1
Aid flows (in Billions of US dollars) 7/	82.7	122.5	145.1			0.4	0.7	0.7	0.7	0.8	0.8		1.2	1.8	
of which: Grants	0.5	0.4	0.3			0.3	0.5	0.5	0.5	0.6	0.6		0.8	1.0	
of which: Concessional loans	82.2	122.1	144.8			0.1	0.2	0.2	0.1	0.2	0.2		0.4	0.7	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			3.4	4.6	4.6	4.2	4.2	4.1		3.9	2.8	3.6
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			75.9	70.5	75.0	75.3	75.4	73.3		61.0	42.2	55.1
Memorandum items:															
Nominal GDP (Billions of US dollars)	12.4	10.4	11.3			12.3	13.7	14.8	16.0	17.3	18.6		26.7	52.1	
Nominal dollar GDP growth	3.7	-15.9	8.5			9.2	10.6	8.6	8.2	7.7	7.7	8.7	7.5	6.8	7.1
PV of PPG external debt (in Billions of US dollars)			1.9			2.0	2.2	2.4	2.5	2.7	2.9		4.6	12.4	
(PVt-PVt-1)/GDPt-1 (in percent)						0.8	1.7	1.2	1.1	1.0	1.2	1.2	1.8	1.9	1.9
Gross workers' remittances (Billions of US dollars)	0.2	0.2	0.2			0.2	0.2	0.2	0.3	0.3	0.3		0.3	0.4	
PV of PPG external debt (in percent of GDP + remittances)	...	...	17.3			15.5	15.8	15.7	15.5	15.3	15.3		17.0	23.7	
PV of PPG external debt (in percent of exports + remittances)	...	...	60.2			54.0	57.7	59.5	59.3	59.6	60.5		66.3	93.2	
Debt service of PPG external debt (in percent of exports + remittance	...	...	3.5			3.8	4.0	4.2	4.2	4.3	4.4		5.9	12.3	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Assumes that PV of private sector debt is equivalent to its face value.

5/ Current-year interest payments divided by previous period debt stock.

6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

7/ Defined as grants, concessional loans, and debt relief.

8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

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Table 2. Burkina Faso: Public Sector Debt Sustainability Framework, Baseline Scenario, 2014-2037

(In percent of GDP, unless otherwise indicated)

	Actual			Average 5/	Standard Deviation 5/	Estimate	Projections								
	2014	2015	2016			2017	2018	2019	2020	2021	2022	2017-22 Average	2027	2037	2023-37 Average
Public sector debt 1/	30.4	35.8	38.3			38.3	41.0	41.3	41.8	41.6	41.5		41.6	44.2	
of which: foreign-currency denominated	23.5	26.5	27.4			24.2	24.6	24.3	23.9	23.5	23.3		25.3	33.7	
Change in public sector debt	1.6	5.4	2.5			0.0	2.7	0.4	0.4	-0.2	-0.1		0.0	0.1	
Identified debt-creating flows	3.2	5.1	1.3			3.2	2.1	-0.1	0.0	0.0	0.0		0.1	0.2	
Primary deficit	1.2	1.5	2.4	3.0	1.4	7.3	4.0	1.8	1.7	1.7	1.6	3.0	1.5	1.5	1.5
Revenue and grants	21.6	20.7	21.0			21.7	23.1	23.9	24.1	24.4	24.5		25.1	24.0	
of which: grants	4.2	3.7	2.7			2.7	3.4	3.7	3.4	3.4	3.3		2.9	2.0	
Primary (noninterest) expenditure	22.8	22.2	23.5			28.9	27.1	25.7	25.9	26.0	26.1		26.7	25.5	
Automatic debt dynamics	2.0	3.6	-1.1			-4.0	-1.9	-1.9	-1.8	-1.7	-1.6		-1.4	-1.2	
Contribution from interest rate/growth differential	-0.8	-0.5	-1.6			-2.1	-1.9	-1.9	-1.8	-1.8	-1.7		-0.9	-0.6	
of which: contribution from average real interest rate	0.4	0.6	0.4			0.3	0.3	0.4	0.5	0.6	0.7		1.2	1.4	
of which: contribution from real GDP growth	-1.2	-1.1	-2.0			-2.3	-2.2	-2.3	-2.3	-2.4	-2.4		-2.1	-2.0	
Contribution from real exchange rate depreciation	2.8	4.1	0.4			-2.0	-0.1	0.0	0.1	0.1	0.1		...	...	
Other identified debt-creating flows	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	-1.6	0.3	1.2			-3.2	0.6	0.5	0.5	-0.1	-0.1		-0.1	-0.1	
Other Sustainability Indicators															
PV of public sector debt	...	...	28.6			29.8	32.4	32.9	33.6	33.7	33.7		33.5	34.3	
of which: foreign-currency denominated	...	...	17.7			15.8	16.0	15.9	15.7	15.6	15.5		17.2	23.9	
of which: external	...	...	17.7			15.8	16.0	15.9	15.7	15.6	15.5		17.2	23.9	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	3.6	4.3	8.1			12.5	10.6	10.2	10.6	10.4	10.6		10.4	9.2	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	135.8			137.6	140.4	137.7	139.3	138.2	137.5		133.4	143.0	
PV of public sector debt-to-revenue ratio (in percent)	...	...	155.7			156.9	164.7	162.7	162.1	160.9	159.2		150.7	155.9	
of which: external 3/	...	...	96.3			82.8	81.6	78.6	75.8	74.4	73.5		77.3	108.2	
Debt service-to-revenue and grants ratio (in percent) 4/	11.4	13.5	26.9			24.0	28.7	35.1	36.7	36.0	36.5		35.4	32.4	
Debt service-to-revenue ratio (in percent) 4/	14.1	16.4	30.8			27.3	33.6	41.4	42.7	41.9	42.3		40.0	35.3	
Primary deficit that stabilizes the debt-to-GDP ratio	-0.4	-3.9	-0.1			7.2	1.3	1.4	1.3	1.8	1.8		1.5	1.4	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	4.3	3.9	5.9	5.4	1.6	6.4	6.0	6.0	6.0	6.0	6.1	6.1	5.4	4.7	5.0
Average nominal interest rate on forex debt (in percent)	1.0	0.8	1.0	1.0	0.1	1.0	1.1	1.2	1.3	1.4	1.5	1.2	2.1	3.0	2.4
Average real interest rate on domestic debt (in percent)	7.4	10.0	5.6	4.4	4.4	4.3	3.7	4.3	4.3	4.4	4.4	4.2	4.4	4.4	4.4
Real exchange rate depreciation (in percent, + indicates depreciation)	13.9	18.2	1.8	1.6	8.8	-7.7	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	-0.6	-3.1	2.7	2.7	3.9	2.3	2.0	2.0	2.0	2.0	2.0	2.1	2.0	2.0	2.0
Growth of real primary spending (deflated by GDP deflator, in percent)	-13.4	1.6	11.7	0.0	5.9	31.3	-0.8	0.8	6.6	6.7	6.4	8.5	5.9	4.1	4.8
Grant element of new external borrowing (in percent)	...	...	...	...	...	40.4	38.6	37.4	36.4	35.9	34.7	37.2	28.8	17.1	...

Sources: Country authorities; and staff estimates and projections.

1/ Central Government Gross Debt

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

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Table 3. Burkina Faso: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2017–37

(Percent)

	Projections							
	2017	2018	2019	2020	2021	2022	**2027**	2037
PV of debt-to GDP ratio								
Baseline	16	16	16	16	16	16	**17**	24
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2017-2037 1/	16	16	16	15	15	14	**17**	34
A2. New public sector loans on less favorable terms in 2017-2037 2	16	17	17	18	18	19	**25**	44
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2018-2019	16	16	17	16	16	16	**18**	25
B2. Export value growth at historical average minus one standard deviation in 2018-2019 3/	16	19	24	23	23	23	**22**	26
B3. US dollar GDP deflator at historical average minus one standard deviation in 2018-2019	16	18	20	20	20	20	**22**	30
B4. Net non-debt creating flows at historical average minus one standard deviation in 2018-2019 4/	16	17	18	18	17	17	**18**	24
B5. Combination of B1-B4 using one-half standard deviation shocks	16	18	20	19	19	19	**21**	28
B6. One-time 30 percent nominal depreciation relative to the baseline in 2018 5/	16	23	22	22	22	22	**24**	33
PV of debt-to-exports ratio								
Baseline	58	62	63	63	63	64	**69**	96
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2017-2037 1/	58	62	63	61	59	58	**68**	135
A2. New public sector loans on less favorable terms in 2017-2037 2	58	65	69	71	74	77	**99**	177
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2018-2019	58	62	64	63	63	64	**69**	96
B2. Export value growth at historical average minus one standard deviation in 2018-2019 3/	58	84	126	124	123	124	**118**	136
B3. US dollar GDP deflator at historical average minus one standard deviation in 2018-2019	58	62	64	63	63	64	**69**	96
B4. Net non-debt creating flows at historical average minus one standard deviation in 2018-2019 4/	58	67	71	70	70	71	**74**	97
B5. Combination of B1-B4 using one-half standard deviation shocks	58	65	67	66	66	67	**71**	96
B6. One-time 30 percent nominal depreciation relative to the baseline in 2018 5/	58	62	64	63	63	64	**69**	96
PV of debt-to-revenue ratio								
Baseline	83	82	79	76	74	73	**77**	108
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2017-2037 1/	83	83	77	73	70	67	**76**	153
A2. New public sector loans on less favorable terms in 2017-2037 2	83	86	86	85	87	89	**111**	199
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2018-2019	83	84	82	79	77	77	**80**	113
B2. Export value growth at historical average minus one standard deviation in 2018-2019 3/	83	97	118	113	110	108	**100**	116
B3. US dollar GDP deflator at historical average minus one standard deviation in 2018-2019	83	93	100	96	94	93	**98**	137
B4. Net non-debt creating flows at historical average minus one standard deviation in 2018-2019 4/	83	88	88	84	83	81	**83**	110
B5. Combination of B1-B4 using one-half standard deviation shocks	83	93	97	94	92	90	**93**	127
B6. One-time 30 percent nominal depreciation relative to the baseline in 2018 5/	83	115	110	106	104	103	**108**	152

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